EXECUTIVE SUMMARY

1. Introduction

The municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality which is situated in the northeastern coast of the Province of Cagayan with an area of 17,176 hectares.

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2017 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P 255,037,100.00, P71,963,320.23, P183,073,779.97, respectively with an increase of 12.29%, 7.64% and 14.23%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P90,744,316.52 and P65,485,538.85, which increase by 11.02% and 6.66% respectively from last year's figures.

Particulars	2017	2016	Increase(Decrease)	
			Amount	%
Financial Position				
Assets	255,037,100.00	227,124,002.07	27,913,097.93	12.29
Liabilities	71,963,320.23	66,858,088.47	5,105,231.76	7.64
Govt. Equity	183,073,779.97	160,265,913.60	22,807,866.37	14.23
Financial Performance				
Income	90,744,316.52	81,733,240.12	9,011,076.40	11.02
Expense	65,485,538.85	61,396,714.76	4,088,824.09	6.66
Appropriations, Allotments and Obligation				
Appropriations	159,847,346.12	134,992,483.86	24,854,862.26	18.41
Allotments	159,847,346.12	134,992,483.86	24,854,862.26	18.41
Obligations	69,041,149.87	60,564,484.82	8,476,665.05	14.00

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's

Particulars	2017	2016	Increase/ (Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	-	-	-
Due from GOCCs	-	-	-
Due from LGUs	3,000,000.00	400,000.00	2,600,000.00
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	3,000,000.00	400,000.00	2,600,000.00
Fund Received from Other Agencies:			
Due to NGAs	27,481,900.00	16,515,500.00	10,966,400.00
Due to LGUs	1,000,000.00	-	1,000,000.00
Due to NGOs/POs		-	-
Others		-	-
TOTAL	**28,481,900.00**	**16,515,500.00**	11,966,400.00

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P 66,208,756.03 (net of depreciation) could not be ascertained due to the failure of the Management to conduct physical inventory of all LGU properties and lack of property and equipment ledger cards. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Significant Audit Observations and Recommendations

1. Local Access Roads projects funded by FY 2017 LGSF-ADM Program were not fully compliant with the policy guidelines and procedures provided under DILG DBM Joint Memorandum Circular No. 2017-03 dated May 23, 2017.

   We recommended that Management closely monitor and supervise the implementation of the project in accordance with contract plans and specifications. Projects signboard must be installed at project location in accordance with COA Circular No. 2013-004 dated January 30, 2013. Close coordination with the DILG (MLGOO) must be taken to ensure compliance with the policy and guidelines of DILG-DBM JMC No. 2017-03.

   Initiate appropriate actions in case of delay/negative slippage in the implementation of the project including the imposition of liquidated damages, if warranted.

2. The Municipality did not appoint a mandatory position of Municipal Disaster Risk Reduction and Management Officer (MDRRMO) and three (3) support staffs, contrary to Sections 4.2 & 4.3 of NDRRMC, DBM, DILG, CSC Joint Memorandum Circular No. 2014-01 dated April 14, 2014 implementing the Philippine Disaster Risk Reduction and Management (PDRRM) Act of 2010.

   We recommended that Management appoint a LDRRM Officer with three (3) support staff in accordance with the provisions of NDRRMC, DBM, DILG, CSC Joint Memorandum Circular No. 2014-01, in order for the LDRRM Office to fully function and responsible for LDRRM activities.

3. Special Educational Fund for CY 2017 amounting to P1,007,480.00 has not include allocations for Early Childhood Care and Development (ECCD) programs and activities, which is not consistent with Section 7 (b) of Republic Act No. 10410 dated March 26, 2013, thereby depriving children from age zero (0) to four (4) of additional projects that would promote their welfare and development.

   We recommended that Management through the Local School Board include programs, projects and activities for Early Childhood Care and Development (ECCD) in the Annual Budget of Special Education Fund in adherence to Section 7(b) of Republic Act No. 10410.

4. Income from market operations could have been significantly increased had the municipality executed contracts and fully leased their market stalls in consonance with Municipal Ordinance No. 1 s. 2017 or the Municipal Market Code of 2017.

   We recommended that Management execute Contract of Lessee with all existing lessees occupying the market stalls in consonance with 2017 Municipal Market Code. Advertise the vacant stalls, accept new lessees, and continuously monitor the payment of rental fees including the enforcement of penalties/surcharge on late payment. Additional funds be also provided for repairs and maintenance of the establishment to improve its appearance and attract potential customers and prospective lessees.

5. Summary of Total Suspensions, Disallowances, and Charges

For CY 2017, audit suspension and disallowance totaling to P 2,136,495.57 and P80,000.00 respectively was issued. The audit suspension totaling to P2,136,495.57 was completely settled during the year.

Settlement of audit suspensions and disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	P 412,114.54	P 412,114.54	-	100%
Current Year	-	1,724,381.03	1,724,381.03	-	100%
Total	**-**	**P 2,136,495.57**	**P 2,136,495.57**	**-**	100%
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	P 80,000.00	-	P 80,000.00	-
Total	**-**	**P 80,000.00**	**-**	**P 80,000.00**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the eighteen (18) audit recommendations of prior year's report, eight (8) were fully implemented, five (5) was partially implemented and five (5) were not implemented as at year end.